REPORT

The untapped opportunity

Democratizing financial wellbeing



House of Finance & Tech

Roland Berger

Management summary

Financial wellbeing describes the ability to manage money confidently, achieve personal goals and mitigate financial risks. However, a representative survey conducted by Roland Berger shows that 52 % of Germans experience financial worries on a weekly basis and 27 % do not have a clear picture of their finances. With a financial wellbeing score of 53, Germany ranks only in the midfield of all OECD countries. Financial literacy, attitudes on the subject of finances and the available offerings are all at an insufficient level of development. Banks, insurance companies and fintech providers still offer only isolated solutions. What we need are integrated concepts that combine education, advice and independent product recommendations. Digitalization and AI already enable these kinds of personalized, scalable approaches today. Roland Berger has developed a suitable framework that captures in a structured manner people's different stages of life and different financial situations.

There is also a societal dimension to financial wellbeing. A lack of financial literacy and lack of provision for the future leads people into unmanageable debt, dependence on state support and poverty in old age. This puts not only people's individual quality of life at risk but also jeopardizes social cohesion and the future viability of state institutions.

The reality is a fragmented market. Financial service providers offer individual products but rarely tailor them to the different stages of people's real lives. At the same time, inflation, demographic change and the rising cost of living are amplifying the pressing need for action. The issue is turning into a silent crisis with visible symptoms such as falling savings rates and rising old-age poverty. What is called for is cooperation between policymakers, business leaders, civil society and technology providers. Access to financial knowledge and advice must be democratized with the help of integrated, digitally powered solutions. The results of our survey are a clear call to action that the financial industry, policymakers and technology leaders must hear: Now is the time to make financial planning in Germany a structural element of society's resilience and people's individual freedom.

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1 Financial wellbeing: Relevance and definition

1.1/ Differs from title in Contents

When people in Germany are asked about their biggest personal fears and worries, anxiety about their financial future ranks very high. Only the economy and geopolitical events rank higher in their list of concerns.

As our survey shows, more than half of people worry about their finances at least once a week. Almost one in three say they are not in control of or have no clear picture of their financial situation.

Despite being in work and saving for their retirement, one in five already anticipate that they will not have enough money to maintain their standard of living in old age. The pension system is one of the biggest sociodemographic challenges of our time. All generations need to work together today to find a solution for tomorrow. The mood in the country is colored by money worries, fears about the future and a lack of guidance.

1.2/ Survey and analysis of financial wellbeing in Germany

In a representative survey conducted in collaboration with the House of Finance & Tech, a central platform for innovation, networking and growth in the financial and technology ecosystem in Berlin, we polled 1,000 people in Germany based on key sociodemographic characteristics and asked them about their understanding and expectations regarding financial wellbeing, savings habits and financial behavior, opportunities and limitations, and financial anxieties and concerns.

KEY FINDINGS AT A GLANCE:

- 52 % of participants say they feel anxiety or worry about their financial situation at least once a week. Only 22 % experience such worries rarely or not at all.
- For half of respondents, their financial situation is their biggest personal worry. Only geopolitical events and the economy cause people more concern.
- 27 % of respondents report having no clear picture of their finances and say they are not planning for their future.
- 20 % already expect to have trouble maintaining their standard of living in old age from a financial perspective – despite working and having pension savings (a further 48 % also consider this likely).

1.3/ The financial wellbeing score as a standardized measure

A financial wellbeing score can be used to assess people's financial circumstances. The measurement is based on an internationally recognized, standardized set of indicators developed by the US Consumer Financial Protection Bureau and adopted by the OECD, among others.

The measurement covers five categories, including examining people's ability to protect their financial future and the extent to which people are achieving their financial goals. It calculates a score based on the following aspects:

1. **Present:** Do you have financial flexibility, and particularly, do you have money left over at the end of the month?
2. **Future:** How able are you to provide for and protect your financial future?
3. **Control:** Could you cope with an unexpected expense or financial shock?
4. **Freedom:** Are you achieving your financial goals and do you have the chance to enjoy life?
5. **Stress:** How well can you deal with financial setbacks and the limitations and problems they bring?

The resulting financial wellbeing score is based on a scale from 0 to 100. The score for Germany is 53 points – a surprisingly low score for a highly developed country.

1.4/ Money worries have many causes

People in Germany feel significant financial uncertainty. Our representative survey indicates that more than 40 % of respondents already feel their current financial situation is risky or worry they will not have enough money by the time they reach old age (see RB's study on "Financial wellbeing in Germany").

Financial uncertainty is the result of a complex interplay of many external factors. These factors have an impact on the individual, societal and structural levels – and their effects are becoming increasingly apparent.

- **Macroeconomic factors** like inflation, unemployment and demographic change influence the general economic situation and people's financial stability.
- **Technology developments** can contribute to financial uncertainty. Growing use of artificial intelligence, digitalization, cyber threats and so on are changing the workplace and presenting many people with new challenges around job security and income security.
- **Political frameworks** (e.g. pension systems, tax policy, fiscal transfer payments) have a direct impact on the financial wellbeing of people.
- **Socioeconomic factors** have an impact through things like educational attainment, income inequality and the increase in precarious employment and can exacerbate existing demographic disparities.

- **Regulatory influences**, such as the regulation of pension products, social security regulations and financial market regulations, have a significant impact on people's financial habits and the individual options they have to protect themselves financially.
- **Cognitive biases** like hyperbolic discounting (the tendency to choose immediate rewards over future rewards, even when those immediate rewards are smaller) or status quo bias (people's reluctance to change their own spending or savings habits) also contribute to people not saving enough and thus to suboptimal financial results.

Sustainable solutions for promoting financial wellbeing must therefore take a holistic approach and be conceived and operationalized across society as a whole.

1.5/ What is financial wellbeing?

According to the Consumer Financial Protection Bureau, financial wellbeing means having financial security and financial freedom – now and in the future. It includes people managing their day-to-day finances and cash flow responsibly because they know what they can earn and spend without experiencing pressure around their ability to meet their financial obligations. At the same time, they are able to cope with unexpected financial hits such as an emergency repair, an illness or a loss of income. ▶ A

A Areas of needs involved in achieving financial wellbeing



Financial basis
Creating financial stability through cash flow, budgeting, managing debt and saving



Investing and wealth building
Targeted wealth building and making provision for retirement through long-term saving, investing and tax optimization



Protecting against risks
Protecting against existential risks like illness, accident or inability to work in order to maintain standard of living

Source: Roland Berger

Financial wellbeing also includes financial planning for the future and indicates that people are on a stable path toward achieving their financial goals for the short, medium and long term – whether that is through building up savings, making provision for their retirement or investing in personal projects.

Last but not least, financial wellbeing implies that people have the freedom to make financial decisions that enrich their life – such as taking a career break, pursuing further education or moving house – without taking existential financial risks.

This profile of requirements gives rise to the areas of needs shown in Figure A.

1.6/ Win-win situation: Benefits for people, banks and government

Building financial wellbeing has many advantages – not just for people, who see their financial autonomy and resilience strengthened, but also for the financial service providers involved and for government. Our survey reveals unmistakable potential in large parts of society:

- 7 % of respondents say they are not in control of their finances
- More than 20 % regularly lose track of their finances and have to react suddenly
- A further 37 % have a rough picture of their finances but no clear financial plan for the future

BENEFITS FOR INDIVIDUALS:

Financial wellbeing creates value for people – both immediately and also with a long-term positive impact, one key aspect being that it reduces financial stress. If you get your finances under control and keep track of your income and spending, you gain a sense of control and feel less stressed. This financial clarity also makes it easier to plan and realize personal goals. These goals are highly individual across the breadth of society and can range from actively managing debts to consciously budgeting to building up a nest egg or financial buffer to targeted wealth building.

Another benefit financial wellbeing brings is increased resilience against unexpected events. By specifically putting away savings and building up a financial buffer, people can better manage unforeseen expenses (such as the cost of repairs or medical emergencies) without immediately falling into financial difficulty.

The risk of getting into unmanageable debt also decreases when people plan their spending in a structured way and set the right priorities. Managing their money in an intentional way helps people avoid getting into debt or allows them to gradually reduce any existing debt they may have.

Last but not least, greater financial security improves overall wellbeing. People who feel financially secure are happier, can concentrate better and are more productive – both at work and in their private lives.

> **Financial wellbeing is a key factor in an individual's quality of life."**
>
> **Dr. Thomas Richter, Partner**

BENEFITS FOR FINANCIAL SERVICE PROVIDERS:

Banks, insurance companies and fintechs also benefit, whether that's by acquiring new customer groups, enjoying improved customer loyalty or being able to tap cross-selling and upselling potential.

With a stronger focus on their customers' financial autonomy and resilience, banks and financial service providers will be able to develop customer-centric offerings that provide real value. Not only will this promote customer satisfaction, it will also strengthen customer loyalty and retention, a crucial factor in an increasingly competitive market.

Moreover, adopting an integrated advisory approach and addressing people's individual needs and life stages enables higher closing rates. Targeted cross-selling within a trusted customer relationship allows providers to successfully place additional products and services. This means that customers can be holistically developed and retained long term.

Another benefit lies in minimizing risk: Drawing customers' attention early to the fact that they might face a financial squeeze and offering support to help them avoid this can reduce the risk of customers defaulting on payments. Prevention beats reaction – an approach with both social and commercial benefits.

Financial wellbeing is also an important element of a positive brand image. Financial service providers who address the issue credibly can position themselves as responsible and forward-looking partners. This creates trust and differentiation in the market – with a lasting effect on reputation and business success.

Furthermore, financial wellbeing offers a unique opportunity for fintechs. They can take on a role in the disaggregated value chain of an ecosystem, such as the role of infrastructure enabler, API/algorithm provider or secure data processor.

However, our survey clearly reveals a need in society: Almost 53 % of respondents would already be happy to use a simple, digital solution they can trust that analyzes their finances, identifies where they can be optimized and actively helps with budgeting, saving for the future and protecting against financial risk, and some of them are actively looking for such a solution today. Similarly, well over 50 % of those surveyed are already willing to pay for a solution like this.

BENEFITS FOR GOVERNMENT:

Financial wellbeing also offers a wide range of benefits for the state.

Specifically, fostering financial literacy can help people understand and manage their finances better – with the positive side effect of higher tax revenues from people with stable employment histories and increased participation in the economic cycle.

Households that have emergency savings to fall back on are less dependent on government support in times of crisis. This relieves pressure on the social welfare system and creates scope to provide targeted assistance where it is actually needed. At the same time, financially healthy people actively contribute to the stability of the economy, for instance by keeping up their spending, by investing and by having lower levels of consumer debt.

In the long term, a high level of financial wellbeing can also lead to lower spending in the health and social sectors. On the one hand, financial wellbeing offers government a direct chance to address the longstanding pension gap. On the other hand, the foreseeable positive effect can also indirectly lighten the burden on the healthcare system, as being under less financial stress means people suffer from less mental and physical stress. In addition to the social impact on the healthcare system, individuals are also able to invest more in their own health through better allocation of finances and greater financial freedom. Thus, financial wellbeing strengthens social cohesion and the long-term viability of state institutions.

> **Even though financial wellbeing offers many benefits – greater customer focus, better customer loyalty, less defaulting on payments – it has not yet been adequately addressed by financial service providers."**
>
> **Georg Henig, Senior Partner**

2 Different needs and user segments

2.1/ Financial needs vary with age and individual financial circumstances

People's individual financial wellbeing needs are not static; they change with their age and their current financial circumstances or income situation. That is why it's important to identify and address each individual's needs in a differentiated manner.

The following areas of needs show the different dimensions in which financial independence – and thus financial wellbeing – can be achieved. ▶ B

Financial basis:
The financial basis covers aspects like managing finances day to day and building basic financial security.

Investing and wealth building:
In this area of needs, aspects like making provision for retirement and the family, saving and investing, and building and managing assets are important in creating the conditions for people to have financial independence and security in old age.

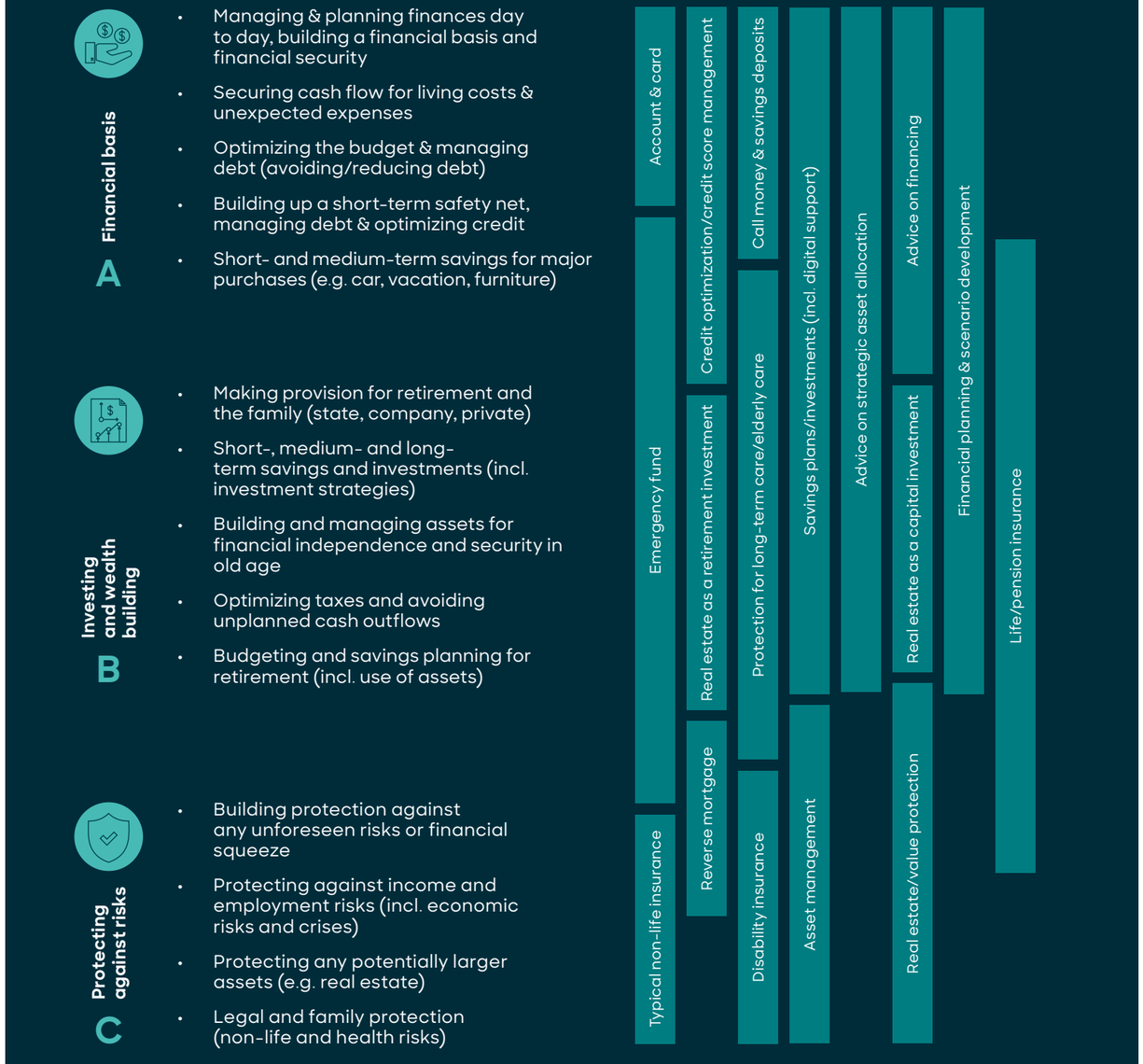
Protecting against risks:
This area of needs is about people fully protecting themselves against any unforeseen risk or financial squeeze.

2.2/ The Roland Berger financial wellbeing framework

Because people's needs vary greatly depending on what stage of life they're at and what their financial starting point is like, financial wellbeing must be considered across multiple dimensions. Age cohorts and financial starting points in terms of level of assets and income are relevant additional dimensions to consider when specifying people's respective needs. In order to address people holistically, based on their life stage and wealth level, target groups must therefore be segmented across these multiple dimensions.

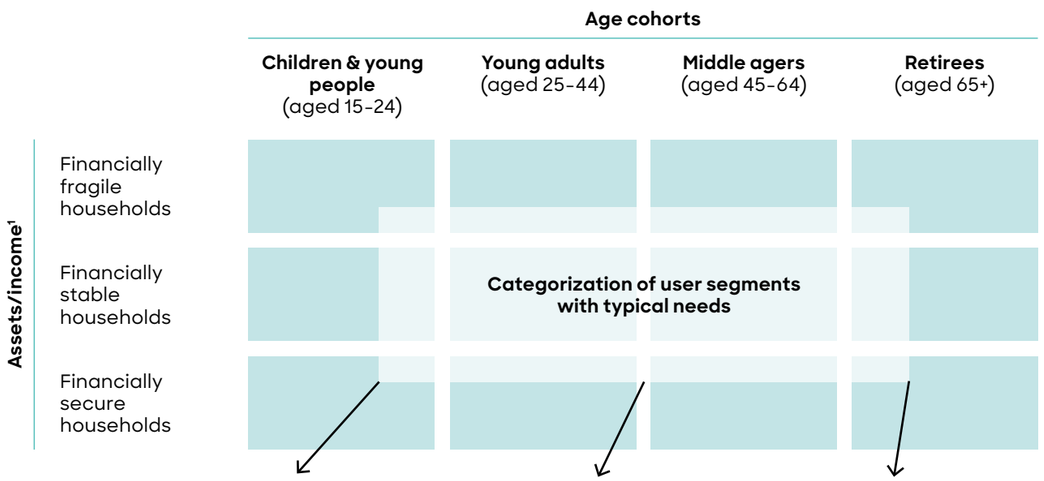
Our framework makes the complexity of people's different starting points and needs tangible and enables both precise segmentation and the targeted definition and addressing of individual financial needs. If the framework is operationalized in conjunction with personalized support tailored to individual life stages and specific needs, a financial wellbeing solution can bring real value. ▶ C

B Areas of needs and product/solution types for financial wellbeing



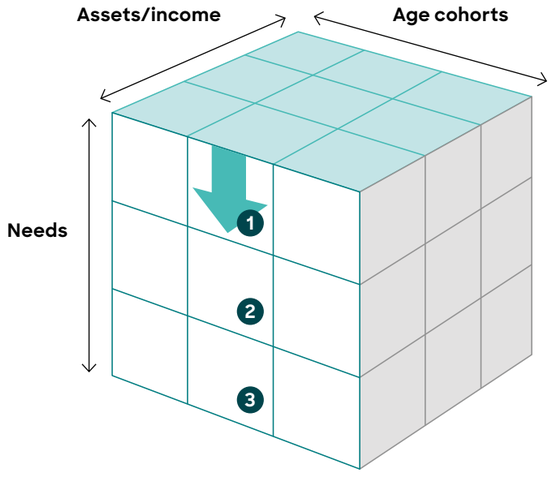
Source: Roland Berger

C The Roland Berger financial wellbeing framework



Introduction of additional dimensions
Age cohorts and wealth/income dimensions added to areas of needs





1 Depending on the analysis, household wealth or household income should be considered as a relevant dimension.

Source: Roland Berger

> **"There is no 'one size fits all' solution for financial wellbeing. Every offer must be tailored to people's real needs."**
>
> **Dr. Viktoria Danzer, Senior Partner**

2.3/ The framework in practice: Segmentation example

The framework can be used to generate individual target group profiles with demographic data and needs for all user segments. This makes it easier to quantify demographic potential and gain a more accurate understanding of individual needs. ▶ D

SEGMENTATION EXAMPLE FOR A PERSON FROM THE COHORT OF MIDDLE AGERS

- Age cohort: Middle agers (aged 45 to 64) – In a phase of consolidating their finances, with a growing focus on pension planning and inheritance. Higher financial literacy but structural gaps in their provision for the future.
- Asset and income situation: Financially secure household with stable income and existing savings. Focus on structured wealth building, supplementary pension products and preparation for a predictable retirement.

NEEDS:

Financial basis:
Targeted budget optimization; building up savings for larger one-off expenses.

Investing and wealth building:
Structured wealth building through investing in ETFs, targeted use of tax benefits, active building of private pension provision.

Protecting against risks:
Coverage against occupational disability or death – especially to maintain the family's standard of living.

D Sample profile for a person from the cohort of children & young people from a financially fragile household

Children & young people (aged 15-24) – Financially fragile household
Early phase of financial socialization under constrained conditions, often without stable financial role models. Low financial literacy, little experience of managing money. First contact with financial products usually via digital channels, influenced by consumer desires and social media. Focus on building a financial basis and trust.

General demographic and typical characteristics of the cohort

Segment size [million]

8.5 m people



Professional/educational level [%]

In education[1]	62.9 %
Apprenticeship[2]	17.7 %
University[3]	4.7 %
Not in education[4]	14.7 %

Net household assets[5] [EUR k]

50 %ile	5
90 %ile	71

Gross income [median, EUR]

Aged<25	2,680

RB estimate of wealth dimension

Financial knowledge/ interest[6]



Financial risk tolerance[6]



Typical financial needs	Nest egg	Avoiding debt	Overview of finances	Savings goals
Typical financial products	Checking account	Debit card	Savings account	Budgeting apps
Usage of digital finance & sources of influence	Mobile apps	Social media	Finfluencers	Gamified learning

Needs/influence Low Medium High

1 Currently in education or vocational training
2 Completed apprenticeships/vocational training and/or graduated from technical college
3 Graduated from university: bachelor's, master's, diploma and/or doctorate degrees
4 Not in education or vocational training and do not hold any of the above qualifications
5 Values for cohort aged <30
6 Typical areas for the segment, depending on people's individual financial possibilities

Source: Roland Berger

2.4/ The goal: A solution as individual as the people it's meant for

Findings to date show that financial wellbeing is a highly relevant issue for individuals and society, but also a complex one that affects the entire population, irrespective of age or social status.

With an average financial wellbeing score of just 53 points, Germany does still rank in the midfield but lags far behind what a developed economy should aspire to.

We urgently need new solutions: Consumers feel a great deal of uncertainty when it comes to dealing with financial matters. Our survey found that 82 % of participants do not know what financial wellbeing means. Education and empowerment are essential for financial stability. On the other hand, people are very open to new offerings – and they are clearly willing to pay for suitable, everyday solutions.

More than 70 % of respondents say they are not on the path to financial wellbeing – with more than 27 % of them stating it's because they simply do not know what to do.

Despite this obvious need, there is still no structured or holistic solution that combines financial education, individual advice and digital support in a meaningful way. What we need is a new, comprehensive solution that meets the diverse needs of "everyone in society" regardless of their age or financial background. That would enable financial planning and security to be achieved across society and financial planning to be democratized on a lasting basis. This would give people guidance and perspective and could in the long term contribute to the financial stability of the population.

Our framework can be used to determine the relevant personal needs based on an individual's personal ambition level.

The following infographic shows how the respective needs can be addressed with exemplary product solutions along each personal ambition level. The starting point will be different for each user and the goal does not have to be fully achieved (level 5) in every dimension of need. The aim is to ensure the best level of financial protection in a targeted and structured manner within the scope of a person's possibilities. ▶ E

E Examples of product solutions tailored to personal ambition levels

Possible ways of addressing typical customer needs

Systematic addressing of individual needs based on personal ambition levels across a broad product spectrum in a digital solution[1]

	Financial basis	Investing & wealth building	Protecting against risks
Level 5 (80-100)	Long-term cash flow planning Building passive income sources Bundling income streams	Structuring total assets Retirement planning Strategy for providing for the next generation	Estate and inheritance planning Protecting assets Protecting against financial exploitation in old age
Level 4 (60-80)	Increasing financial flexibility Use of digital financial tools Income planning	Portfolio diversification Utilizing tax benefits Implementing an investment strategy	Optimizing insurance cover Making provision for retirement Protection for long-term care
Level 3 (40-60)	Increasing savings rates Building up a cash flow buffer Prioritizing expenditure	Investing capital (e.g. ETFs) Automating wealth building Planning expenditure	Protecting family and relatives Making provision for long-term care & health Creating an 'in case of death' folder
Level 2 (20-40)	Starting a savings habit Building up a nest egg Budget structuring	Defining savings goals Starting to save for retirement Comparing investment products	Income protection Life insurance/assurance Introduction of pension documents
Level 1 (0-20)	Securing income Expense transparency Covering basic needs Reducing debt	Developing an understanding of the goal Building financial literacy Building savings	Basic security Risk awareness Fraud protection

1 Financial wellbeing advisory and solution in line with evaluation logic (to be developed and parameters set by the designated orchestrator)

Source: Roland Berger

3 More isolated than integrated

3.1/ Integrated financial solutions are rare

More than 30 % of respondents do not achieve financial wellbeing because they do not take the time to, do not have a trusted advisor or do not know about suitable products.

Financial service providers are simply not tapping into the potential that exists in society. A look at the current portfolios of established financial service providers and insurance companies shows that their offerings predominantly address only isolated financial needs of consumers. They either offer solutions in the area of cash flow, pursue the goal of financial security in old age or offer protection against existential risks.

F Current solutions are still siloed and not synchronized or aligned
Coverage of financial wellbeing needs – Status quo

Financial basis	Investing and wealth building	Protecting against risks
Creating financial stability through cash flow, budgeting, managing debt and saving	Targeted wealth building and retirement provision through long-term saving, investing and tax optimization	Protection against existential risks such as illness, accident or inability to work, allowing people to maintain standard of living
Exemplary providers		
Typically fintechs, banks, neo-banks, etc.	Typically asset managers, banks, neo-brokers, etc.	Typically insurance companies, insurtechs, etc.

- Offerings still often only address isolated financial needs
- Individual needs throughout different stages of life and financial circumstances are only considered to a limited extent
- There is a lack of integrated solutions that provide holistic support to customers
- Traditional providers (banks, insurance companies) and fintechs usually operate in isolation rather than in a coordinated manner
- An integrated offering of everything from the same provider would not only enable financial wellbeing but also provide new earnings potential – such as when realized through open finance

Source: Roland Berger

> **"The pension gap is one of the biggest socio-economic risks for an aging society such as Germany. Financial wellbeing offerings can make a strategic contribution here: They foster financial self-reliance, strengthen individuals' ability to prepare for their retirement and close gaps in pension provision that traditional products and solutions are unable to reach."**
>
> **Georg Henig, Senior Partner**

However, individualized financial planning so far remains the reserve of wealthy customer segments. The holistic needs of the general population are not covered at this point in time.

It's not just traditional providers like banks and insurance companies that operate predominantly in isolation rather than in a coordinated manner - fintechs do, too. ▶ F

Many industry stakeholders are well aware of the potential of a comprehensive financial wellbeing offering. Publications such as this report seek to further raise awareness of and create transparency around the need for an immediate solution. However, it is also clear that a genuinely holistic solution takes more than just one player. It requires an ecosystem of providers who together combine the relevant building blocks into synchronized and individually tailored solutions.

3.2/ Integrated financial planning for all

The majority of banks' and insurance companies' customers have so far been denied individualized and in-depth financial advice owing to the high costs and extensive time involved.

Existing financial planning services focus on wealth building and optimization and thus primarily address the needs of higher-income target groups. The existing offering taps neither the potential of large sections of society nor the cross-selling and upselling opportunities that exist.

The time to democratize financial planning for the whole of society is now. The limitations in financial advisory today (staffing capacities, labor-intensive consultations, individual product selection) can be automated and efficiently established using the possibilities that innovative tech powered by data and AI already bring.

Our goal is to see a financial wellbeing solution achieved that is based on cost-efficient, scalable and data-driven approaches (see Figure J). Digital 360° solutions and automated advice can also be used to systematically address the individual needs and basic financial requirements of broad customer groups. Implementation via partner solutions will also increase reach and flexibility.

A digital solution of this kind generates value for customers by making it easier for them to access such offers and creating much greater transparency. The limitations present today highlight the need for a technology-based response to enable financial wellbeing across the nation.

3.3/ Orchestrator or solution provider?

Banks and insurance companies can fulfill different roles and functions within a future financial wellbeing ecosystem.

Depending on their individual circumstances, they can act as product and solution providers, as founders and orchestrators, or at the customer interface. ▶ G

Product and solution providers could supply building blocks in the form of white label or API-based solutions and specialize in services related to data connectivity, distribution, security and regulatory compliance. Orchestrators, meanwhile, would focus on building an integrated financial wellbeing ecosystem by integrating and managing partners. The services mentioned here are only a fraction of a possible range of services within which the various providers will need to position themselves and take responsibility.

Players who position themselves at the customer interface will focus on advisory and support. They will have integrated financial wellbeing solutions into their product landscape and will use their distribution organization to acquire new customers and provide them with comprehensive advice.

G Scenarios for financial service providers

	Typical financial service providers	Description	Typical benefits/ drawbacks	Typical monetization
Product & solution provider (incl. white label offering)	• Fintechs & insurtechs • Comparison platforms • Specialized providers (e.g. scoring, planning) • Banks & insurance companies	• Modular building blocks (e.g. scoring, planning, protection) are provided as white label or API-based solutions • Focus on data connectivity, distribution, security and regulatory compliance	⊕ • Fast time-to-market for partners • Scalable business model ⊖ • No control over customer access • Low brand awareness among end customers	• License or usage-based fees (e.g. per product or per customer)
Founder & orchestrator	• Fintechs & insurtechs • National associations/ finance groups • International banking groups	• Development of an integrated financial wellbeing ecosystem, incl. integration and management of partners, data flows and user experience • Complete control over architecture & positioning, product management and user experience	⊕ • Strong differentiation & platform sovereignty • Deep integration of external services possible ⊖ • High initial development costs • Building trust and governance necessary	• Platform fees • Transaction-based revenues • Subscription model/ fees
Distribution/ customer interface	• Cross-sector (e.g. savings banks, cooperative banks, regional and universal banks) • Cross-sector (e.g. multiline, monoline, banking groups) • Broker pools	• Integration of existing financial wellbeing solutions into own product landscape – focus on advice, referral and customer support • Use of own distribution strength to acquire and support customers	⊕ • Utilization of existing customer relationships • Low implementation effort ⊖ • Dependence on third-party providers • Little influence on the product	• Commissions • Partnerships • Acquisitions

Source: Roland Berger

3.4/ Where financial wellbeing is already being practiced

Early approaches to foster financial wellbeing can already be seen at some financial service providers in the international arena. Two exemplary initiatives illustrate both the potential and the gaps that exist.

Bank of America offers Life Plan, a digital platform where users can define their own financial goals and track their progress. The platform is fully integrated into the bank's existing online and mobile banking offering and allows for personalized advice to be given, tailored to people's individual goals. The concept focuses on structured financial planning and the setting of everyday goals. This strengthens customer retention. However, what is lacking is in-depth financial education, interactive development and seamless integration of specific financial products such as insurance.

Another example is ANZ Bank with its Financial Wellbeing Quiz. This is a low-threshold online tool for people to self-assess their financial wellbeing. Based on their score, users receive personalized tips on how to improve their everyday financial habits. The service offers easy access via the website or mobile app and enables users to take an initial look at their financial situation and consider their personal willingness to take action. However, here too, what is lacking is any further integration into specific tools, targeted advice or a more comprehensive planning function.

Overall, these approaches show that the need for financial wellbeing is increasingly being recognized. But for them to be effective on a broad basis, we need integrated, holistic solutions that combine education, planning, product recommendations and ongoing support.

3.5/ Open finance: The key to a financial wellbeing ecosystem

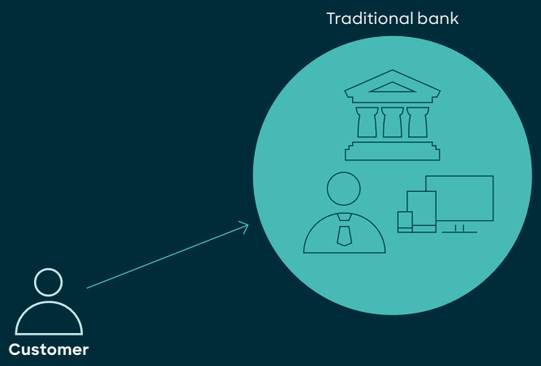
The transition from a bank-focused model to open finance is taking place gradually and is opening up new potential for customer benefit and the creation of business value.

In the traditional model, IT systems and data repositories were fragmented and external interfaces were lacking. Access to customer data was often only possible via unofficial screen scraping solutions from fintech companies, which made it difficult to use data securely and comprehensively. Transferring and aggregating financial data was virtually impossible. ▶ H

H Financial wellbeing ecosystem

Past
Bank-centered model

- Fragmented IT systems and data repositories without external interfaces
- Increase in screen scraping solutions by fintechs
- Lack of data transfer and aggregation capabilities



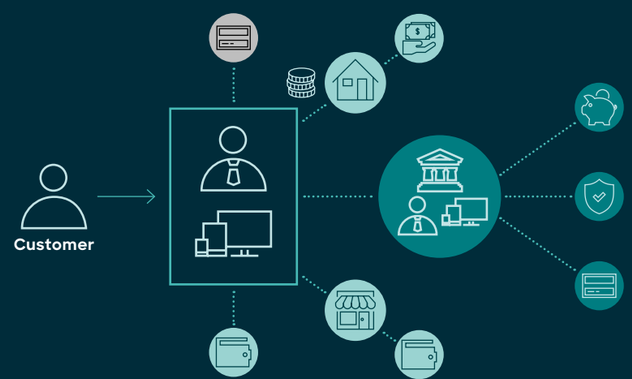
Past
Open banking model (PSD2, 2018)

- Account information opened up via regulatory initiatives (AISP, PISP)
- Customers have data sovereignty: Use of their data requires consent
- Early connectivity between different financial players



Future
Open finance model (FiDA, 2025+)

- Data provision being expanded beyond banks (e.g. insurance companies)
- All financial and insurance data integrated in a central customer interface
- Enabling a connected financial wellbeing ecosystem

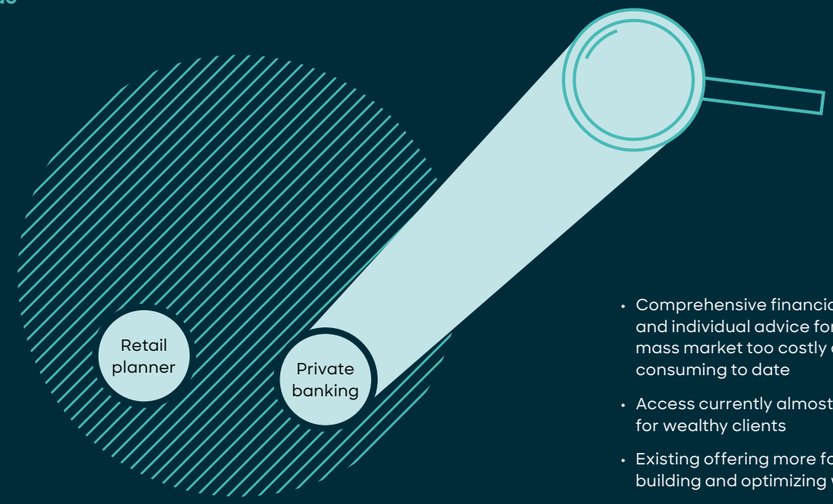


Open finance creates the basis for integrated financial wellbeing ecosystems – with clear value for customers and new revenue potential for financial service providers

Source: Roland Berger

I Comprehensive financial planning

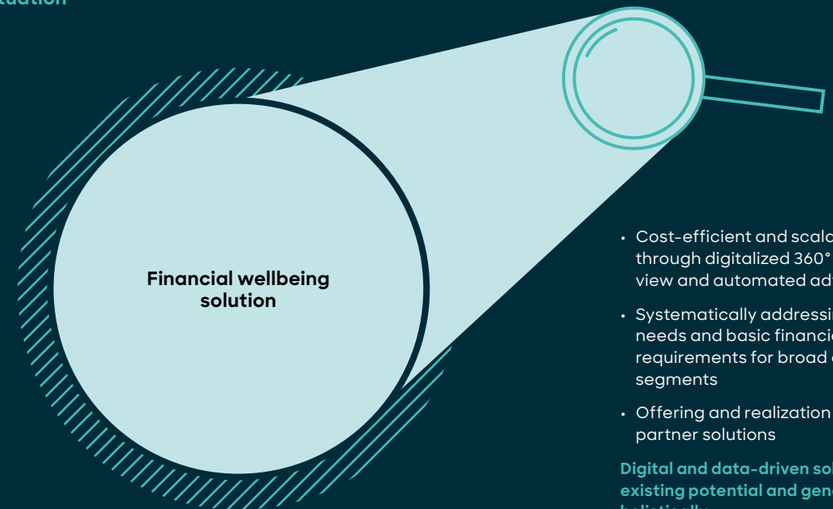
Status quo



- Comprehensive financial planning and individual advice for the mass market too costly and time consuming to date
- Access currently almost exclusively for wealthy clients
- Existing offering more focused on building and optimizing wealth

Current offering leaves many potential customers and product types untapped

Target situation



- Cost-efficient and scalable solutions through digitalized 360° customer view and automated advice
- Systematically addressing individual needs and basic financial requirements for broad customer segments
- Offering and realization directly via partner solutions

Digital and data-driven solution taps existing potential and generates value holistically

Today's limitations make an automated, data-driven solution necessary to enable financial wellbeing on a broad scale

Source: Roland Berger

The introduction of the open banking model (PSD2, 2018) changed the situation significantly. Regulatory requirements such as AISP and PISP opened up access to account information. Customers retain sovereignty over their data and must actively consent to the use of their information. As a result, initial connections have been established between various financial players such as traditional banks, digital banks, insurance companies and asset managers.

The open finance model is the future (FiDA, from 2025+). This will enable even more comprehensive integration. The provision of data will be extended beyond banks to other players, like insurance companies. Financial and insurance data will be consolidated through a central customer interface. This will create the basis for a fully connected financial wellbeing ecosystem that can better meet individual needs and develop new sources of revenue for financial service providers. ▶ I

3.6/ Democratizing financial planning through AI and APIs

Up to now, individual financial advice has been considered too costly and too time consuming for the mass market. Digital technologies such as AI and APIs are laying the foundations for new, efficient technical solutions at the interface between customers and advisors. Largely digital or AI-driven data collection, analysis and segmentation can dramatically reduce the amount of effort required. In a digitalized environment like this, advisors only need to get involved in the more complex cases or when regulatory requirements dictate. This reduces costs, improves the quality of advice and opens up integrated financial planning to large sections of society.

"Current solutions tap only a small part of the potential of financial wellbeing. Data-driven, automated solutions create greater efficiency and offer the chance to develop entirely new customer groups."

Dr. Thomas Richter, Partner

J Building a digital solution with a 360° customer view and addressing individual needs

Daten	Self-disclosure and data collection via API linking of bank accounts, securities accounts and other assets	• Collection of 360° customer data
Analysis	Data-based status quo analysis across all dimensions of needs & financial wellbeing scoring	• Creation of 360° customer view • Determination of status quo in terms of financial wellbeing score
Customers	Segmentation into customer clusters to determine individual needs	• Segmentation into peer groups and to get a better understanding of needs
Habits	Steering with the use of scenarios, nudging, gamification, education Goal tracking for lasting behavioral change	• Habit activation, scenario modeling • Fostering realization • Keeping in touch to see that the habits are sustained
Products/ services	Financial planning and deriving individual needs for consistent tracking	• Data-driven addressing of risks and potential • Building on the financial wellbeing score
Channel	Digital platform with optional advisor involvement for complex or sensitive needs	• Digital analyses and AI-driven recommendations/ development paths

Source: Roland Berger

Automated 360° advisory allows people's individual needs and basic financial requirements to be addressed systematically with personalized product recommendations – even in customer segments that were not previously a focus. Digital and data-driven offerings thus have the potential to close gaps and generate holistic value – and thereby to democratize financial planning. ▶ J

4 How the state can foster financial wellbeing

Realizing an integrated financial wellbeing approach needs the population to have financial literacy and requires a wide range of stakeholders to work in synergy. Government actors can play an important role here – whether by offering financial support, providing infrastructure or taking on the impartial orchestration of the emerging ecosystem. This is not the state acting altruistically but rather in its own interest – a more financially secure population puts less pressure on the country's social, tax and healthcare systems.

Schools and universities can provide earlier and better financial education with up-to-date curriculums and educational institutes can empower people to achieve financial self-reliance regardless of their background, wealth or educational status.

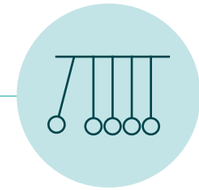
But the state also has a role to play in creating the digital, legal and technical foundations – like infrastructure – for effective financial wellbeing solutions or ecosystems. The state must ensure that open finance APIs, digital IDs and data sovereignty are guaranteed and must examine the tax implications.

In addition, public-private partnerships can be a building block for a financial wellbeing solution. The parties involved – private providers, the state, research institutes and the third sector – must work together to ensure that a trusted and user-centered ecosystem emerges.

"27 % of respondents do not have a clear picture of their finances. Technologies like AI can close this gap – not as a substitute for human advice but as an enabler for personalized financial planning in the mass market."

Markus Lehleiter, Product Lead, House of Finance & Tech

K Financial education



Long-term impact of financial literacy

Financial literacy has been shown to lead to:

- A higher likelihood of investing in the stock market
- Better diversification and higher returns
- Greater likelihood of having private pension provision
- Lower borrowing costs and less likelihood of default



Key learning content

- Fundamentals: Compound interest, inflation, purchasing power, saving and budgeting
- Stock market: Types of investment, risk diversification, stocks vs. funds
- Credit & financing: Types of credit, costs, responsible management of debt
- Retirement provision: Pension plans, impact of interest rates, state and private pension systems



Recommendations for implementation in schools

- Establish a school subject for economic and financial literacy
- Define clear learning objectives and financial literacy levels
- Use qualified teachers with specific expertise
- Integrate practical content with relevance to everyday life

Source: Roland Berger

4.1/ Spotlight: Study on financial education in schools

As part of a representative study, the introduction of a new school subject covering "Economics and Guidance on Vocational Training and Higher Education" in the state of Baden-Württemberg in 2016 was scientifically monitored.

A total of 12,000 students took the subject and were monitored over a period of five years. At the end, the results of the last cohort who did not take the new school subject were compared against the results of the first cohort who did take the new subject. ▶ K

> **"Digital tools are making financial planning accessible to everyone for the first time. The government must create the conditions that enable people to use these tools to achieve financial autonomy."**
>
> **Dr. Sebastian Schäfer, CEO, House of Finance & Tech**

OVERVIEW OF KEY FINDINGS:

The students who participated in the new school subject covering "Economics and Guidance on Vocational Training and Higher Education" demonstrated

- Significantly higher financial literacy
- The greatest increase in literacy in upper secondary schools (Gymnasium), but the effect was also visible in other types of secondary schools
- Greater interest in and knowledge of economic facts
- Positive effects on their financial habits and self-organization

4.2/ Opportunities for financial education beyond traditional formats: The media can play a role

Italy provides an example of how financial literacy can be taught in a low-threshold but highly successful way – via a Saturday night TV show.

The country has been pursuing a national strategy for financial education since 2017. The goal is to increase financial literacy among the population through mass media information campaigns. The initiative involves the Ministries of Education, Labor and Economy, as well as Banca d'Italia, among others.

Starting in 2021, various formats were launched on television, in print media, on the radio and on social media. The accompanying analysis involved a representative sample (n = 3,798) randomly distributed across three media formats and a control group.

It turned out that emotional storytelling in a soap opera format and low-threshold information, like you get in a quiz show, worked best. The quiz show had the greatest reach, with 4.5 million viewers, and led to a significant improvement in financial literacy (+0.355 SD[1]). The soap opera achieved an improvement of +0.166 SD[1], while the specially created commercial had no significant effect.

1 SD = standard deviation; a statistical measure that makes the effectiveness of different financial education measures comparable

L Prerequisites, content and success factors for the infrastructure and basic framework for financial wellbeing

Options (selection)	Possible content	Opportunities to involve partners
Legal & tax incentives to change behavior	• Implementation of tax benefits for making sustainable financial decisions (e.g. individual pension provisions, repaying debts) • Introduction of government subsidy models and contribution-matching programs for low-income households • Promotion of workplace financial literacy programs by making them tax deductible or giving direct subsidies	• Development of eligible products, integration of incentive mechanisms into digital frontends • Participation in pilot programs to validate impact
Digital infrastructure & expansion of open finance framework	• Provision of interoperable API standards to promote data-based financial innovations (e.g. beyond PSD2) • Linking government identity systems (e.g. BundID) with financial services for easier contract signing/authentication • Development of public financial cockpits for consolidated display of people's individual financial data (e.g. pensions, debts)	• Participation in API initiatives, technical integration into digital finance portals • Provision of user interfaces based on government backends
Regulatory framework for transparency and fairness	• Standardization of product information for more market transparency and less complexity • Implementation of default/opt-out options in long-term financial decisions (e.g. retirement provisions, protection products) • Boosting consumer protection with simple cancellation processes and low-threshold complaint structures	• Obligation to disclose relevant product parameters • Participation in the further development of information requirements and standardization

Success factors

- Interoperability of public and private systems
- User-centered design (UX)
- Data security and trust
- Communication geared to the different target groups

Challenges

- Coordination across federal structures
- Regulatory balance between innovation and protection
- Ensuring long-term financing and maintenance

Source: Roland Berger

The analysis showed that the mass medium of television is in fact an effective channel for addressing broad target groups and communicating financial literacy. It also revealed that media campaigns can be significantly more cost effective than traditional education. In terms of cost effectiveness, the media campaign beat traditional education by a considerable margin – a factor of 11 (cost of media campaign: USD 27.43 per SD; cost of traditional education: USD 302 per SD).

4.3/ Incentives, infrastructure, regulation – How to create an ecosystem for financial wellbeing

The prerequisites that government must put in place for a comprehensive financial wellbeing solution to be successfully realized can be divided into three categories:

1. Legal and tax incentives
2. Digital infrastructure and an open finance framework
3. The regulatory framework for transparency and fairness

Figure L shows some of the specific things that this entails and what needs to be considered for successful realization. ▶ L

Key takeaway

The opportunity is clear: It is time for financial institutions, innovators and regulators to move away from fragmented products and toward an integrated, user-centered solution.

Financial wellbeing is a strategic imperative. For individuals. For the financial industry. For society.

This report is the first in a series of publications and events on the topic of financial wellbeing by Roland Berger and the House of Finance & Tech.

Please reach out to the authors with any questions or for further discussion on any aspect of this topic.

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We would like to thank Marc-Felix Müller for his contribution.



12.2025
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Publisher

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